

BankSmart

Key Insights & Business Recommendations

Executive Summary

The analysis reveals that customer churn is primarily influenced by financial behavior and engagement rather than spending alone. Customers with lower savings ratios and lower transaction activity are more likely to churn.

Digital channels such as UPI and mobile applications dominate customer interactions, presenting a strong opportunity for digital-first engagement strategies.

The bank should focus on improving customer savings habits, increasing engagement, and targeting high-value customer segments to reduce churn and improve profitability.

Key Findings

♦ Churn Rate

Approximately **19.4% of customers have churned**, indicating a significant retention challenge.

♦ Spending Behavior

Average customer spending is around ₹16,000, with relatively consistent behavior across the customer base.

- ◆ **Customer Segmentation**

The majority of customers belong to the low spending segment, while high spending customers are very few.

High spenders exhibit the lowest savings ratios, indicating potential financial stress.

- ◆ **Churn by Segment**

Churn is highest among low spending customers (~20%), followed by medium spenders.

Lower-value customers are more likely to leave the bank.

- ◆ **Income Analysis**

Customer behavior remains consistent across income levels, suggesting that income alone does not strongly influence spending or churn.

- ◆ **Age Group Insights**

Mid-career and pre-retirement customers are the most valuable segments with the highest spending.

- ◆ **Channel Usage**

UPI and mobile applications dominate transactions, indicating strong digital adoption among customers.

◆ **Spending Categories**

Customer spending is evenly distributed across categories such as entertainment, bills, travel, and shopping.

Business Recommendations

Improve Savings Behavior

Introduce automated savings tools and financial planning features to encourage better savings habits.

Increase Customer Engagement

Use targeted campaigns, notifications, and rewards to increase transaction frequency.

Focus on At-Risk Customers

Target low-spending and low-engagement customers with retention strategies.

Leverage Digital Channels

Strengthen digital banking platforms and promote UPI/app usage for better customer experience.

Target High-Value Segments

Offer credit cards, loans, and investment products to mid-career and high-spending customers.

Final Conclusion

This project demonstrates how customer transaction and demographic data can be used to derive actionable insights. By understanding spending patterns, savings behavior, and engagement levels, banks can design better strategies to improve retention and customer valu